

complaint

It was unfair for AXA Insurance UK Plc to reject a claim under a Residential Landlord policy following theft/malicious damage, and it took too long to make that decision. In effect, Mr H said the delay caused a loss of rent.

background

I issued a provisional decision in August 2013. An extract is attached and it forms part of this final decision.

Mr H had nothing to add. AXA's response included:

- empty properties are at increased risk of damage (especially malicious damage and damage by theft) as compared to occupied properties;
- unoccupancy is an important fact material to insurers' underwriting decisions;
- it was made clear it wanted to be told about it;
- it does not understand why I said notification of the unoccupancy here would have made no difference to a prudent underwriter;
- if it had been told of the unoccupancy it would have asked questions and, if told that the unoccupancy would continue for as long as it did, cover would have been limited to damage caused by fire, lightning and explosion, subject to inspections;
- it accepts rented properties are likely to be unoccupied for short periods – that is why it continues covering malicious damage and damage by theft for 21 days – after that, cover ceases unless inspections are carried out every seven days;
- the breach of the requirement for inspections every seven days should not be dismissed as inconsequential as it is not known how long the damage had been occurring.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I accept that extended unoccupancy of a property is generally material to insurers.

Although I believe the Empty/Unoccupied Property Condition was given reasonable prominence in the policy (albeit some might expect important requirements to be set out earlier in the policy document than page 32), I am not persuaded it was made sufficiently clear that AXA wanted to be told about unoccupancy.

AXA says it accepts rented properties are likely to be unoccupied for short periods and that is why it continues covering malicious damage and damage by theft for 21 days. In fact, the policy states that it continues covering malicious damage and damage by theft indefinitely, even if the property is unoccupied, provided the Empty/Unoccupied Property Condition is

complied with. That condition sets out the requirements for continued cover beyond 21 days' unoccupancy. Essentially, Mr H complied with those requirements.

Given the statement of continued (albeit conditional) cover in the event of extended unoccupancy, as set out in the Empty/Unoccupied Property Condition, I addressed in the provisional decision how I thought a reasonable policyholder might understand the reference in the condition to having to tell AXA about unoccupancy. I remain of the view that a policyholder seeking to make sense of the condition where he/she was taking steps that met the stated requirements might reasonably believe notifying AXA of the unoccupancy would not make any difference as regards malicious damage and theft. As I stated, I believe the policy permits the inference that the requirement to notify AXA of unoccupancy relates to the cover provided in respect of events not mentioned in the condition.

In the provisional decision I said I could not see why notifying AXA of the unoccupancy would have made any difference. I said that for the reasons set out above.

AXA's response implies that it is not prepared to continue covering malicious damage and damage by theft for more than 90 days where the property is unoccupied, even if the Empty/Unoccupied Property Condition is complied with. I do not consider that was made sufficiently clear in the policy.

AXA says it would have asked questions if Mr H had told it about the unoccupancy and it would have reduced the cover provided if he had told it that the unoccupancy would continue for "*this length of time*". If that is a reference to the time for which Mr H's property was unoccupied (at least five months), AXA seems to be presuming that he could, whenever he spoke to it within the 90 days, have known or suspected how long the unoccupancy would last.

The condition stated that unoccupancy should be notified "*as soon as possible but in any event within 90 days*". As I stated in the provisional decision, I am not persuaded AXA would have limited the cover as suggested if, for example, it had been told of the unoccupancy within a month of it commencing. The earlier within the period of unoccupancy that the policyholder notifies AXA, the more difficult it might be to predict how long it would last.

If the reference to the unoccupancy continuing for "*this length of time*" relates to unoccupancy that will last more than 90 days, and if AXA is saying it would reduce the cover if told that it will last more than 90 days, I cannot see why it could not have stated in the condition the reduced cover that would apply after that time.

Finally, AXA says the two days by which the inspection requirement was exceeded might have made a difference to the claim. It says it is not known how long the damage had been occurring. It did not explain this comment. Its loss adjusters said a thief broke in and stole items and caused damage. That suggests loss/damage that would, in the main at least, have occurred at the time and that would not have continued after the thief left. Although water pipes were disturbed, the water supply had been turned off. Accordingly, I am still not persuaded that the damage would have been prevented or mitigated if the property had been inspected two days before the damage was discovered.

Having carefully considered everything AXA said in response to the provisional decision, I remain of the view that the fair outcome is for it to deal with the claim and pay compensation of £100.

my final decision

AXA Insurance UK Plc should deal with the claim, subject to the other terms of the policy. If it makes a payment to Mr H it should add interest to it calculated at our current rate of 8% pa simple (less tax if properly deductible) from the date the theft was discovered to the date of payment. It should also pay compensation of £100.

S Lilley
ombudsman

PROVISIONAL DECISION

background

As I understand it, when Mr H effected the policy he said “*I agree*” to the question “*Is/are [the property, I assume] not currently vacant and is/are not expected to be vacant for periods in excess of 45 consecutive days?*”.

The claim was made in respect of loss/damage that occurred around ten months later when I understand the insured property had been unoccupied for around five months.

According to the copy supplied to us, the policy included cover for loss, destruction or damage caused by 1) theft or 2) malicious damage and vandalism. 1) and 2) both excluded loss, destruction or damage “*whilst the property is left unoccupied for more than 21 consecutive days unless the Empty/Unoccupied Property Condition is complied with*” and “*whilst the property is not suitable for normal habitation*”.

The building was also covered for loss, destruction or damage caused by “*any other accidental loss or Damage*”. Among other things, this excluded everything that was excluded in respect of the other insured events.

The Empty/Unoccupied Property condition was stated on page 32 of the policy document: “*We must be notified as soon as possible but in any event within 90 days whenever a property ... becomes empty or unoccupied. Failure to comply with any part of this condition could invalidate a claim. We will not pay for any claim arising under ... Section 1 (Buildings) b) Theft ... d) (Malicious Damage) ... Section 2 (Contents) ... f) (Theft) ... i) (Malicious Damage) ... if any property is left without an occupant for more than 21 consecutive days unless i) the premises are inspected at least once during each 7 days by you or your appointed representative*”. This exclusion within the condition was subject to four other exceptions.

AXA’s loss adjusters said the requirements embodied within the exceptions to the exclusion had essentially been complied with, albeit the last inspection was nine days before the theft was discovered.

The claim was rejected for breach of the policy condition requiring unoccupancy of the property to be notified to AXA within 90 days. AXA says that if this had been notified it would have agreed to continue cover only against damage by fire, lightning, explosion, earthquake and aircraft.

Mr H said it is in the nature of rented properties that they will be unoccupied from time to time. Therefore, he considered the condition should have been given greater prominence.

Our adjudicator considered the condition was unclear/ambiguous. His view was that AXA should deal with the claim and pay compensation of £250 for Mr H’s distress and inconvenience.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I am not persuaded the condition was given insufficient prominence in the policy. It was expressly referred to where the cover provided was set out.

Having said that, I am of the view that the exclusions are significant. My ombudsmen colleagues and I consider unusual or significant policy terms should be drawn to the attention of consumers when the cover is arranged. I am aware of no evidence that that was done here.

However, I am given to understand that the policy was arranged by an insurance intermediary acting on Mr H's behalf, and, therefore, I do not consider pointing out the exclusions was AXA's responsibility.

Taking the policy as a whole, I am not persuaded AXA would have limited the cover as it suggested if it had been told of the unoccupancy within, say, a month of it commencing. The cover for theft and malicious damage was clearly stated not to apply after 21 days unoccupancy, unless the policy condition was complied with. This exclusion was restated in the condition, subject to the exceptions. Thus, the policy states malicious damage or loss or damage by theft are covered after 21 days unoccupancy if the requirements in the exceptions are met. Given this, I cannot see why notifying AXA of the unoccupancy would have made any difference, and I believe such a view could also reasonably have been taken by a policyholder seeking to make sense of the condition where he/she was taking steps that met the stated requirements.

It seems to me the policy permits the inference that the requirement to notify AXA of unoccupancy relates to the cover provided by the policy in respect of events not mentioned in the condition.

Mr H effectively complied with the requirements in the exceptions, although his complaint implies this was by chance rather than because he had read and understood the condition.

In any event, two requirements appear to have been aimed at risks of damage by fire, explosion and the escape of water, and were effectively irrelevant to Mr H's loss (although compliance with them limited the consequences of the malicious damage). The only requirement not adhered to strictly was that relating to inspections every seven days.

However, even if the property had been inspected two days before the damage was discovered I am not satisfied it would have been prevented or mitigated.

In the circumstances, I consider AXA should deal with the claim, subject to the other terms of the policy.

Mr H has implied that the delay in rejecting the claim caused him to lose rent he would otherwise have received. The claim was rejected around seven weeks after it was notified. The unoccupancy and/or its duration had been identified around a month before then, so I think there was a delay. However, I am not satisfied it caused Mr H to suffer a loss or a loss he would not have suffered anyway. The circumstances of the unoccupancy are not clear. It seems the property had been unoccupied for five months before the theft. If so, I am aware

of no evidence that it was about to be rented when the theft occurred, or that it would have been rented earlier than, in fact, it was (I am aware of no evidence as to when that was) if AXA had rejected the claim earlier.

I accept the rejection of the claim is likely to have caused Mr H some distress and inconvenience but consider compensation of £100 would be reasonable.

my provisional decision

AXA Insurance UK Plc should deal with the claim, subject to the other terms of the policy. If it makes a payment to Mr H it should add interest to it calculated at our current rate of 8% pa simple (less tax if properly deductible) from the date the theft was discovered to the date of payment. It should also pay compensation of £100.

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ombudsman